

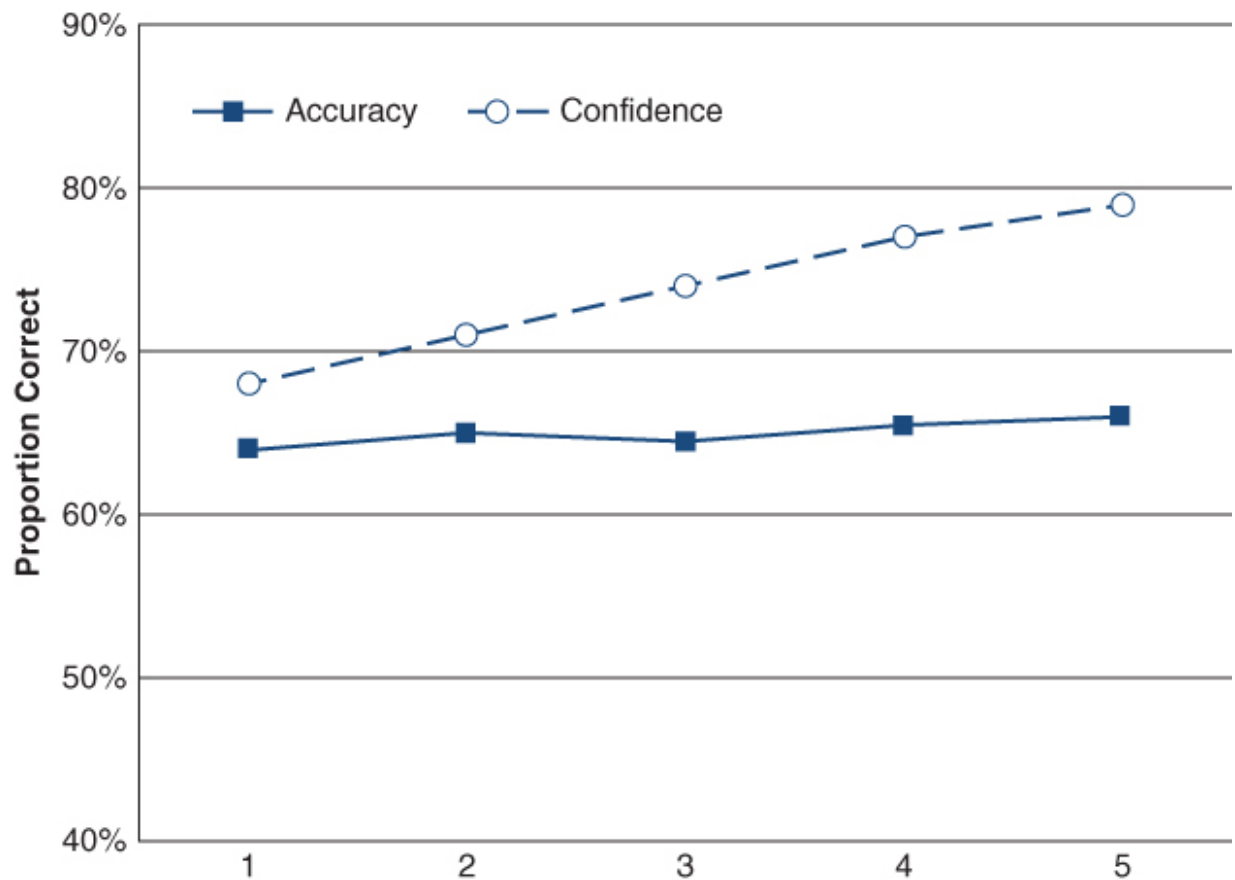


Figure 3.9 Overconfidence

The results of the study support the human hypothesis and reject the econ hypothesis. Humans incorrectly interpret more information as being better information than it really is. Their forecast accuracy does not improve with more information, but their confidence in their forecast grows linearly with the amount of information received.

How does the overconfidence effect play out in the financial realm? In another study, a team of scientists examines the effects of incremental information on market traders' forecasting ability and their confidence.^{[11](#)} The researchers create an experimental trading lab where traders are randomly given different information sets with nine different levels of information. Information set I1 has no information about the market, while information set I9 is essentially inside information, with a nearly perfect picture about the future price of stocks. Once traders receive their information sets, they play a live trading game where the subjects try to maximize their returns. The intent of the experimental design is to capture